



Pensioners' Payments and Social Security Act 1979

1979 CHAPTER 48

An Act to make provision for lump sum payments to pensioners and to modify section 125 of the Social Security Act 1975. [26th July 1979]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Lump sum payments to pensioners

1.—(1) Any person who—

- (a) is present or ordinarily resident in the United Kingdom or any other member state of the Communities at any time during the relevant week ; and
- (b) is entitled to a payment of a qualifying benefit in respect of a period which includes a day in that week or is to be treated as entitled to a payment of a qualifying benefit in respect of such a period,

Payments for 1979.

shall, subject to subsection (3) of this section and sections 2 and 3 of this Act, be entitled to payment by the Secretary of State of a sum of £10.

(2) Subject as aforesaid, any person entitled to a payment under the preceding subsection shall, if he and his spouse have attained pensionable age not later than the end of the relevant week and his spouse satisfies the condition mentioned in paragraph (a) of that subsection and if—

- (a) he is entitled in respect of his spouse to an increase in the payment of qualifying benefit mentioned in paragraph (b) of that subsection ; or
- (b) he is to be treated as so entitled and the relevant qualifying benefit is not a supplementary pension ; or

1976 c. 71.
S.I. 1977/2156
(N.I. 27).

- (c) his and his spouse's requirements and resources fall to be aggregated under paragraph 3(1) of Schedule 1 to the Supplementary Benefits Act 1976 or to the Supplementary Benefits (Northern Ireland) Order 1977,

be entitled to payment by the Secretary of State of a further sum of £10.

(3) Only one sum shall be payable under this section in respect of any person.

(4) A sum payable under this section shall not be treated as benefit for the purposes of any enactment or instrument under which entitlement to the relevant qualifying benefit arises or is to be treated as arising.

(5) A payment and the right to receive a payment—

(a) under this section ; or

(b) under regulations relating to widows which are, within the period of two months beginning with the date of the passing of this Act, made by the Secretary of State under any enactment relating to police and contain a statement that the regulations provide for payments corresponding to payments under this section,

shall be disregarded for all purposes of income tax and for the purposes of any enactment or instrument under which regard is had to a person's means.

Interpretation
of provisions
as to
payments.
1975 c. 14.
1975 c. 15.

2.—(1) In this Act “qualifying benefit” means—

(a) any of the following benefits under the Social Security Act 1975 or the Social Security (Northern Ireland) Act 1975 (each of which is hereafter in this section referred to as “the Social Security Act”), namely—

(i) a retirement pension ;

(ii) an invalidity pension ;

(iii) a widow's allowance, widowed mother's allowance or widow's pension ;

(iv) a non-contributory invalidity pension ;

(v) an invalid care allowance ;

(vi) an industrial death benefit by way of widow's or widower's pension ;

(b) an attendance allowance ;

(c) an unemployment supplement or allowance ;

(d) a war disablement pension ;

(e) a war widow's pension ;

(f) a supplementary pension.

(2) In this Act—

- “attendance allowance” has the meaning assigned to it by any regulations in force on the passing of this Act under the Family Income Supplements Act 1970 or the Family Income Supplements Act (Northern Ireland) 1971; 1970 c. 55.
1971 c. 8
(N.I.).
- “pensionable age” means—
- (a) in the case of a man, the age of 65;
 - (b) in the case of a woman, the age of 60;
- “the relevant week” means the week beginning with 3rd December 1979;
- “retirement pension” includes graduated retirement benefit, if paid periodically;
- “supplementary pension” means a supplementary pension under section 1(1)(a) of the Supplementary Benefits Act 1976 or article 3(1)(a) of the Supplementary Benefits (Northern Ireland) Order 1977; 1976 c. 71.
S.I. 1977/2156
(N.I.).
- “unemployability supplement or allowance” has the meaning assigned to it by Schedule 5 to the Social Security Act;
- “war disablement pension” means—
- (a) any retired pay, pension or allowance granted in respect of disablement under powers conferred by or under the Air Force (Constitution) Act 1917, the Personal Injuries (Emergency Provisions) Act 1939, the Pensions (Navy, Army, Air Force and Mercantile Marine) Act 1939, the Polish Resettlement Act 1947, the Home Guard Act 1951 or the Ulster Defence Regiment Act 1969; 1917 c. 51.
1939 c. 82.
1939 c. 83.
1947 c. 19.
1951 c. 8.
1969 c. 65.
 - (b) without prejudice to paragraph (a) of this definition, any retired pay or pension to which subsection (1) of section 365 of the Income and Corporation Taxes Act 1970 applies; 1970 c. 10.
- “war widow’s pension” means any widow’s pension or allowance granted in respect of a death due to service or war injury and payable by virtue of any enactment mentioned in paragraph (a) of the preceding definition or a pension or allowance for a widow granted under any scheme mentioned in subsection (2)(e) of the said section 365;

and each of the following expressions, namely, “attendance allowance”, “unemployability supplement or allowance”, “war disablement pension” and “war widow’s pension”, includes any payment which the Secretary of State accepts as being analogous to it.

(3) For the purposes of the preceding section the Channel Islands, the Isle of Man and Gibraltar shall be treated as though they were part of the United Kingdom.

(4) A person shall be treated for the purposes of subsection (1)(b) of the preceding section as entitled to a payment of qualifying benefit if he would be so entitled—

(a) in the case of a qualifying benefit other than a supplementary pension—

(i) but for the fact that he or his spouse is entitled to receive some other payment out of public funds ;

(ii) but for the operation of section 30(1) of the Social Security Act ;

(iii) but for the terms of any arrangement to which section 92 of that Act applies and by which he is bound ;

(iv) but for the fact that he has not made a claim for the payment ;

(b) in the case of a supplementary pension, but for the fact that his or his spouse's earnings were exceptionally of an amount which resulted in his having ceased to be entitled to the pension.

(5) A person shall be treated for the purposes of subsection (2)(b) of the preceding section as entitled in respect of his spouse to an increase in a payment of qualifying benefit if he would be so entitled—

(a) but for the fact that he or his spouse is entitled to receive some other payment out of public funds ;

(b) but for the operation of any provision of section 30(1), 45(2) or (3) or 66(4) of the Social Security Act or any regulations made under section 66(3) of that Act whereby entitlement to benefit is affected by the amount of a person's earnings in a given period ; or

(c) but for such terms as are mentioned in paragraph (a)(iii) of the preceding subsection ; or

(d) but for the fact that he has not made a claim for the increase.

(6) For the purposes of the preceding section a person shall be deemed not to be entitled to a payment of a war disablement pension unless not later than the end of the relevant week—

(a) he has attained the age of 70 in the case of a man or 65 in the case of a woman ; or

(b) he is treated under section 27(3) of the Social Security Act as having retired from regular employment.

(7) Two persons who are not married to each other and are living together as husband and wife shall be treated as spouses for the purposes of the preceding section if—

- (a) the qualifying benefit to which the man is entitled is a supplementary pension ; and
- (b) their requirements and resources fall to be aggregated as mentioned in subsection (2)(c) of that section.

3.—(1) A determination by the competent authority that a person is entitled or not entitled to payment of a qualifying benefit in respect of a period which includes a day in the relevant week shall be conclusive for the purposes of section 1 of this Act ; and in this subsection “competent authority” means, in relation to a payment of any description of qualifying benefit, an authority who ordinarily determines whether a person is entitled to such a payment. Administration of payments.

(2) Any question arising under section 1 or 2 of this Act, other than one determined or falling to be determined under the preceding subsection, shall be determined by the Secretary of State whose decision shall, except as provided by the following subsection, be final.

(3) The Secretary of State may reverse a decision under the preceding subsection on new facts being brought to his notice or if he is satisfied that the decision was given in ignorance of, or was based on a mistake as to, some material fact.

(4) The Secretary of State may—

- (a) require any person to make a claim in writing for a payment under section 1 of this Act ;
- (b) require such information and evidence to be furnished by a person who has applied for a payment under that section as may in the opinion of the Secretary of State be necessary for the purpose of determining whether that person is or was entitled to such a payment.

(5) The Secretary of State may make any payment under section 1 of this Act at any time and in any manner that he thinks appropriate and, in particular, may make such a payment to someone other than the person entitled to it, but on that person's behalf, if in the circumstances of the case he considers it appropriate so to do.

(6) The right of any person to payment of any sum under section 1 of this Act shall be extinguished if payment is not obtained within twelve months, or such longer period as the Secretary of State may in any particular case allow from the

date which the Secretary of State determines to be the date on which that person became entitled to that payment.

(7) Notwithstanding anything in subsections (5) and (6) of this section, a payment under section 1 of this Act to which, apart from this subsection, a person is entitled by virtue of subsection (4) or (5) of the preceding section shall not be made after the expiration of the period of one year beginning with the last day of the relevant week unless a claim for the payment was made in the prescribed manner before the expiration of that period.

In this subsection "prescribed" means prescribed by regulations made by the Secretary of State by statutory instrument, and any statutory instrument made by virtue of this subsection shall be subject to annulment in pursuance of a resolution of either House of Parliament.

Payments for
1980 and
subsequent
years.

4.—(1) It shall be the duty of the Secretary of State, in the year 1980 and each subsequent year,—

(a) to lay before each House of Parliament a draft of an order under this section ; and

(b) if the draft is approved by a resolution of each House, to make by statutory instrument an order in the form of the draft.

(2) An order under this section must provide that sections 1 to 3 of this Act are to have effect as if—

(a) for references to the relevant week there were substituted references to a week in the current year which begins with a day not earlier than the second Monday in November of that year and is specified in the order ; and

(b) for references to the passing of this Act there were substituted references to the making of the order.

(3) If it appears to the Secretary of State that, having regard to the economic situation in the United Kingdom, the standard of living in the United Kingdom and such other matters as he considers relevant, the sums to be payable by virtue of an order under this section should be larger than £10, the order may provide that sections 1 to 3 of this Act are to have effect, in relation to the week specified in the order, as if for references to £10 in section 1(1) and (2) there were substituted references to a larger sum so specified.

Modification of s.125 of Social Security Act 1975

Modification
of 1975 c. 14
s. 125.

5. The Secretary of State shall not be required by virtue of section 125 of the Social Security Act 1975 (which provides

among other things for reviews of the amount of the earnings of a beneficiary's wife which must be exceeded before a pension is reduced by reference to the excess in pursuance of section 45(3) or 66(4) of that Act) to review a sum specified in section 45(3) or 66(4) of that Act or to prepare and lay before Parliament the draft of an order relating to such a sum.

Supplemental

6.—(1) A sum paid to a person under section 1 of this Act shall be so paid— Financial provisions.

- (a) out of the National Insurance Fund if the relevant qualifying benefit to which he is entitled or treated as entitled is a benefit payable out of that Fund ;
- (b) out of money provided by Parliament if the said benefit is a benefit payable out of such money ;
- (c) out of the Northern Ireland National Insurance Fund if the said benefit is a benefit payable out of that Fund ;
and
- (d) out of money appropriated from the Consolidated Fund of Northern Ireland if the said benefit is a benefit payable out of such money.

(2) Any administrative costs incurred in Great Britain under this Act by a government department shall be defrayed out of money provided by Parliament, but so much of those costs as relates to sums payable out of the National Insurance Fund shall be repaid to the Consolidated Fund out of the other Fund.

(3) Any administrative costs incurred in Northern Ireland under this Act by a government department (including a Northern Ireland department) shall be paid out of money appropriated from the Consolidated Fund of Northern Ireland, but so much of those costs as relates to sums payable out of the Northern Ireland National Insurance Fund shall be repaid into the Consolidated Fund of Northern Ireland out of the other Fund.

(4) Where any payments fall to be made into a Fund in pursuance of subsection (2) or (3) of this section, the payments shall be taken to be of such amounts, and payments on account of them shall be made at such times and in such manner, as the Secretary of State may determine in accordance with any directions of the Treasury.

7.—(1) The preceding provisions of this Act, except sections 4 and 5, shall have effect, in relation to a person who is or is treated as entitled to a benefit payable as is mentioned in subsection (1)(c) or (d) of the preceding section, as if for any reference to the Secretary of State (except in sections 1(5)(b) and 3(7)) Additional provisions relating to Northern Ireland.

or to the Treasury there were substituted respectively a reference to the Department of Health and Social Services for Northern Ireland and the Department of Finance for Northern Ireland.

(2) In relation to a payment under section 1 of this Act which falls to be paid out of a Fund mentioned in subsection (1)(c) or (d) of the preceding section, section 3(7) of this Act shall have effect as if for the second paragraph there were substituted the following—

In this section "prescribed" means prescribed by regulations made, by statutory rule for the purposes of the Statutory Rules Act (Northern Ireland) 1958, by the Department of Health and Social Services for Northern Ireland; and a statutory rule made by virtue of this subsection shall be subject to negative resolution as defined by section 41(6) of the Interpretation Act (Northern Ireland) 1954 as if it were a statutory instrument within the meaning of that Act.

1958 c. 18
(N.I.).

1954 c. 33
(N.I.).

Citation
and repeals.

8.—(1) This Act may be cited as the Pensioners' Payments and Social Security Act 1979 and shall be included among the Acts which may be cited together as the Social Security Acts 1975 to 1979.

1975 c. 14.

(2) In section 125(1)(c) of the Social Security Act 1975 the words "45(3) and 66(4)" and the words "of those provisions" are hereby repealed.